

Coaching and Its Application in the Corporate Context

Professor Jean Lee and Senior Case Researcher Dr. Liman Zhao of China Europe International Business School developed this technical note for the sole purpose of aiding classroom instructors in the use of case (OB-24-005-CE). It provides analysis and questions intended as alternative approaches for deepening students' comprehension of business issues and stimulating classroom discussion.

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At the time of writing, companies faced a world of heightened volatility, uncertainty, complexity, and ambiguity (VUCA^①). This led many business leaders to discover that past experiences and traditional “command and control” leadership models no longer guaranteed success. As a result, companies increasingly recognized the need for a new leadership model, inspiring employees to be vibrant, innovative, and dedicated individuals capable of devising effective strategies and facing up to competitors. At the same time, employees themselves faced a new status quo characterized by brittleness, anxiety, non-linearity, and incomprehensibility (BANI^②). In the words of Ken Costa, Vice-Chairman of banking group UBS Warburg, “You can see the frustration. It demonstrates itself in uncertainty and a lack of fulfillment and ultimately leads people to leave the organization...”¹

From the perspective of an employer, every employee has unique potential. However, unleashing that potential is another matter. The core philosophy of coaching is that every individual sits on tremendous potential and problem-solving skills. For this reason, the coach should be a catalyst and support the coachee in building their confidence to overcome challenges and difficulties, unleash their potential, and drive their self-development through observation and reflection, active listening, open-ended questions, and thoughtful feedback. A supportive coach ignites a change that unlocks individual potential and expands possibilities for the entire team.²

The International Coaching Federation (ICF) defines coaching as “partnering in a thought-provoking and creative process to maximize personal and professional potential.”

In recent years, coaching developed into a unique management technique differing from traditional mentoring and consulting. This case study provides a systematic introduction to coaching, including its adoption by companies, benefits, and associated challenges, as well as its application in the corporate context.

^① “VUCA,” short for volatility, uncertainty, complexity, and ambiguity, was first introduced in 1985 by the economist Warren Bennis and the university professor Burton Nanus in their book *Leaders: Strategies for Taking Charge*. Volatility refers to unexpected and unstable challenges of an unknown duration; Uncertainty denotes the lack of the full picture and predictability and the existence of incomplete information; Complexity describes the challenge of dealing with tasks that involve a multiplicity of factors, some of which may be intricately interconnected; Ambiguity refers to the absence of clarity in understanding a problem with complex conditions and causes.

^② In 2016, the American anthropologist, author, and futurist Jamais Cascio coined the BANI acronym (brittle, anxious, non-linear, and incomprehensible) to describe a world characterized by anxiety, doubt, and chaos.

The Fundamentals of Coaching

The Concise Oxford English Dictionary offers two definitions for “coach.” The first mentions a bus used for long journeys, a railway carriage, and traveling. The second includes sports instruction or training, private tuition, and extra teaching. The word “coach” originates back to a village called Kocsi Szeker in Hungary, where carriages were manufactured for transporting esteemed guests to their desired destinations. In the 1950s, coaching emerged in sports, with coaches assisting athletes and teams to break their limits and maximize their potential to achieve goals and win competitions. In 1975, Tim Gallwey, an American tennis coach, discovered a shortcut to learning tennis and published *The Inner Game of Work*, introducing the equation: “Performance = Potential - Interference.” He believed that the “command-and-control” style of traditional training created interference because people simply followed the rules of what they were told. Little room existed for the potential of human beings to come through. The result was that both performance and enjoyment levels were low. Gallwey’s insights and mindset on coaching were subsequently adopted by numerous businesses, driving the application of coaching in the corporate world.

Coaching and Related Concepts

Coaching refers to a process where certain techniques are applied to “co-create” with the coachee and accomplish the coachee’s desired goals through a series of activities and experiences³. Coaching conversations focus on the coachee, as the outcome relies on the coachee’s own thoughts and motivation for change. In successful coaching conversations, a coach should be able to apply clear and appropriate principles, core competencies, and processes. Poor practice in coaching runs the risk of it being misrepresented, misperceived, and dismissed as not so new and different or failing to live up to its promises⁴.

The “coaching” concept is often confused with other related terms such as “consulting,” “mentoring,” and “training.” “Consultants” are tasked with diagnosing the problems faced by an organization and providing solutions based on their expertise in a specific field. “Mentors” are usually in-house experts or executives who share their experience and knowledge with young employees or junior managers in one-on-one sessions. “Trainers” plan and deliver knowledge and skills to learners based on current or future needs and specific objectives set by either the trainer or the company’s executive team.⁵

Unlike these other concepts, coaching does not involve lecturing or imparting knowledge and experience. Instead, it fosters a learning and growth environment that motivates the coachee to reach their goals. Coaching focuses on the present and future while avoiding dwelling on the past. In addition, it does not aim to provide immediate solutions or dictate a specific approach. Tim Gallwey emphasized that internal obstacles are often more daunting than external ones. To address this challenge, coaching helps individuals maximize performance by unlocking their potential (opening up possibilities) and removing internal interference (self-doubt), based on the belief that people all have a built-in and natural learning capability.⁶

The Essence and Key Elements of Coaching

In his book *Coaching for Performance (5th edition)*, Sir John Whitmore stated that the essence of coaching lies in elevating the coachee’s awareness, responsibility, and self-belief. Referred to as the coaching “bible”, his book has been translated into more than 20 languages and has sold over a million copies worldwide.

The first key element of coaching is raising awareness. According to *Webster’s Dictionary*, “awareness” implies having knowledge of something through alertness in observing and interpreting what one sees, hears, or feels. Whitmore defined awareness as high-quality input from becoming engaged in something. Research has also suggested that non-judgmental awareness is, in itself, curative.⁷

The other key concept in training is responsibility, playing a crucial role in performance. Unlike mentors or trainers who impart advice or instructions as “experts,” coaches prioritize the development of responsibility in the coachee, who realizes potential by optimizing their own individuality and uniqueness. They never do this by molding them to another’s opinion of what constitutes best practices.

Self-belief and self-actualization are the primary goals of coaching. In *Coaching for Performance*, Whitmore explained the relationship between coaching and Maslow’s Hierarchy of Needs, defining “self-belief” and “self-actualization” as the bedrock of coaching. “Self-belief” is connected to the concept of “esteem” in Hierarchy of Needs, with Maslow using the collective term “esteem needs” and making the distinction between esteem from others and self-esteem. In Whitmore’s opinion, self-belief belongs to the latter and is created not by prestige and privilege, but rather when someone is considered worthy of making choices. Toward the end of his life, Maslow added the self-realization level. However, as Whitmore said, “Development is a journey, not a destination.” To earn the title of leader and help oneself and others to realize “self-actualization,” a person must have evolved beyond the status, recognition level, and self-interest, instead seeking meaning and purpose in serving others at work. Today, millennials particularly focus on the meaning and purpose of work, and this pursuit also extends to leaders⁸. As Jack Welch stated in his book *The Real-Life MBA*, “Before you are a leader, success is all about growing yourself. When you become a leader, success is all about growing others.”⁹

The Coaching Mindset and Core Competencies

To raise awareness and build responsibility in the coachee, coaches must maintain a positive mindset and demonstrate three key attributes – active listening skills, the ability to ask powerful questions and provide constructive feedback.

Whitmore emphasized the importance of the coaching mindset. “Coaching is not merely a technique to be wheeled out and rigidly applied in certain prescribed circumstances; it is a way of leading and managing, a way of treating people, a way of thinking, a way of being. Coaching is emotional intelligence in practice,” said Whitmore when emphasizing the importance of the coach’s mindset.^①

A positive coaching mindset encompasses five key elements, represented by the acronym COACH: “Centered” (focusing on the needs of the coachee), “Open” (being open to all possibilities), “Aware”, “Connected” (to oneself, the coachee, and the surrounding environment), and “Holding” (embracing confrontational emotions from different voices and the energy flow).

As mentioned above, coaches must be active listeners. This requires them to answer before responding. In addition to summarizing the points being made, the coach needs to watch, hear, and understand body language and emotional changes beyond words with their eyes, ears, brain, and heart. The coachee should be allowed moments of silence during communication. The coach needs to be active and concentrated, while interest and curiosity can also help them to become active listeners.

The ability to ask powerful questions is also a key attribute, as powerful questions can help to promote proactive and focused thought. In this context, open-ended questions (rather than instructions or closed questions) are best at generating awareness and responsibility. The coach should, therefore, ask questions that increase the coachee’s self-belief and self-motivation.

In addition, coaches must be able to provide constructive feedback (i.e., detailed observations instead of judgmental or general comments). The purpose of this feedback is to change behavior (i.e., forward-looking) rather than dwell on the past. This requires the coach to ascertain the views of the

^① Daniel Goleman, a renowned psychologist, defined emotional intelligence as the ability to relate to others across five domains: self-awareness, self-regulation, motivation, empathy, and social skills.

coachee and, if necessary, to seek advice from others. The key is helping the coachee improve, not giving criticism (i.e., the relationship should come first).

The Coaching Process: GROW Model

"I believe that each individual walks their own unique path. By presenting thought-provoking and exploratory questions, you can steer them towards embracing novel perspectives, thus enabling them to uncover their own way. While I may not provide the answers here, I believe that individuals can find answers by themselves."

— — Sir John Whitmore

Coaching or coaching conversations can be spontaneous, informal, and formal. Coaching is about partnership, collaboration, and believing in potential. In practice, questioning is considered the primary form of communication in coaching. One of the most effective ways to engage the coachee is to guide the conversation using the GROW model developed by John Whitmore and his team (see **Exhibit 1**). The framework of the GROW model¹⁰ is as follows:

The first stage (Goal) can divide goals into the "End Goal" and "Performance Goals." Wherever possible, performance goals should support the end goal. The end goal fosters longer-term thinking, while performance goals define the specifications (measurable, tangible milestones). End and performance goals sometimes need to be topped and tailed by two other components – a "dream goal" that presents purpose and meaning, as well as "process goals" that follow the SMART[®] framework to check on all the actions to reach the "Performance Goals." This goal-setting system, which encompasses everything from the initial "dream" through to concrete actions, ensures the coachee's ownership of the goal, where the coach should be side by side with, not in front of ("pulling") or behind ("pushing") the coachee.

The "R" (Reality) stage of the GROW model calls for objectivity, which can be subject to major distortions caused by the coach's judgments, expectations, prejudices, concerns, or hopes. Approaching reality and avoiding distortion requires a high degree of detachment on the part of the coach, as well as the ability to phrase questions in a way that demands factual answers from the coachee rather than asking "Why?", which tends to produce a defensive justification. When the reality is clear, it brings the goals into sharper focus. Adjustments are an option if things turn out differently from the initial goals.

The "Options" stage aims not to find the "right" answer but to create and list as many alternative courses of action as possible. When the coachee is stuck and seeks guidance, the coach can ask questions such as "What if there were no obstacles and you had a magic wand – what would you do then?" or "If you had more time/control/money, how would you approach this differently?" These questions encourage the coachee to delve deeper into a broader range of possibilities and discuss strengths, weaknesses, risks, and supporting factors.

The final phase ("Will") is to hold coachees accountable by asking them to identify their next steps and incorporate them into a specific action plan. In addition, the coach needs to check the coachee's intention to carry out their part of the job by asking questions like, "How committed are you to this action, on a scale of 1-10?" If the coachee gives a score of 7 or lower, the GROW sequence should be revisited to motivate the coachee to build a more feasible plan¹¹. In summary, the purpose of this phase is to encourage the coachee to translate their vision or "dream" into action.

¹⁰According to the SMART framework, goals must be specific, measurable, agreed upon, realistic, and time-bound.

Background, Benefits, and Challenges of Corporate Coaching

According to the pioneering leadership coach Marshall Goldsmith, the most significant change in the leadership style of American corporate executives over the last 40 years was the shift “From Tell to Ask”, with traditional “command-style” leaders gradually making way for “coaching leaders” in the era of innovation¹². This section provides the background to the adoption of coaching in the corporate context, as well as the benefits and challenges associated with its adoption.

Adoption of Coaching in the Corporate World

The introduction of “coaching” from sports into the world of business can be attributed to a tennis coach named Tim Gallwey. While coaching on the tennis court, he noticed students disliked his “command-and-control” style. They saw it as detrimental to their performance and growth. He also noticed that this approach hindered students from concentrating. Reducing intervention also allowed them to learn from their experiences, enjoy the game, and unleash their full potential to achieve remarkable results. Based on his discoveries and experiments, he commented in his book *The Inner Game of Work*: “No matter what external game you’re playing, there’s always an inner game. And how you play it is what ultimately determines your success.” In other words, success hinges on one’s internal state.¹³

Although players devoured Gallwey’s books eagerly, few coaches and instructors could believe his ideas. They thought that Gallwey was trying to turn the teaching of sport on its head and that he was undermining their authority and the principles they had harvested so much. However, he was merely proposing that coaching could be more effective if coaches adopted approaches focusing on unlocking individual potential. His insights into the coaching mindset captured the attention of numerous American companies, including AT&T, IBM, and General Electric, leading to increasing acceptance and widespread adoption of his approach. Thanks to his groundbreaking ideas, Gallwey emerged as a trailblazer in American sports psychology and a leading figure in coaching.¹⁴

The Benefits of Coaching in an Organization

In *Coaching for Performance*, Whitmore summarized the benefits that coaching brings to businesses (see **Exhibit 2**)¹⁵, including the following aspects:

For individuals, coaching helps to facilitate career development and instill a sense of accomplishment for both employees and leaders. It is no coincidence that Google chose to call its Leadership Institute “Search Inside Yourself,” nor that Warren Bennis, the founder of organizational development theory, said that it is not about becoming a leader but becoming yourself and using yourself completely. Coaching not only helps the coachee to improve their awareness, sense of responsibility, and self-belief but also enables coaches themselves (leaders within organizations) to fully embrace who they are. This, in turn, contributes to improved job satisfaction and better career development for both employees and leaders. When employees’ potential is effectively unleashed, leaders can be freed from supervision and follow-up, instead focusing more on strategic thinking and future planning.

In a team, leaders who embrace a coaching leadership style characterized by partnership and collaboration can stand side by side with their team members. In this context, collaboration is incompatible with “I am the expert” or “this is how we do things around here.” And there is no room for the traditional notion of “best practice.” A “coaching” leader who trusts team members can contribute to an inclusive team culture that encourages members to share their creative ideas and drive innovation.

Organizations also benefit from future-oriented and potential-focused coaching that inspires individuals to find purpose and meaning in their work. The key here is to empower coachees to realize that, when faced with challenges and adversity, they need to hold accountability for their

current situation, choose how to relate to it and take action to make a difference. It means stepping from being a victim of fate into being a creator of destiny. In the VUCA era, coaching fosters organizational agility and adaptability, ultimately driving enhanced performance.

Applications of Coaching in the Corporate World

The corporate coaching market in China was still in its infancy with significant untapped potential – a fact underscored by the 2022 *China Corporate Coaching White Paper*. In terms of **supply**, approximately 200,000 individuals in China received coaching through various channels, such as public courses, in-house training, business school programs, and coaching certification courses. About 2,000 coaches had gained certification, with nearly 200 active external coaches. On the **demand** side, investment in coaching courses accounted for a mere 0.8% of Chinese companies' total external training expenses in 2021, compared to 9.9% in the United States. Despite China having 2.3 times as many employees as the US, the number of certified coaches in the US was 14 times higher than in China. In terms of **market size**, the coaching market in China was estimated to be worth approximately 1.35 billion CNY, comprising foreign companies (700 million CNY), Chinese listed companies (480 million CNY), private Chinese enterprises (140 million CNY), and Chinese startups (40 million CNY).¹⁶

Coaching is not a cure-all solution, but in many cases, it proves more effective than simply giving direct instructions. According to Whitmore, if the quality of the result matters the most, coaching for high awareness and responsibility is likely to deliver the most. If maximizing the learning is predominant, clearly coaching will optimize learning and its retention. If buy-in and real commitment are necessary, the coach creates more possibilities, which is likely to achieve compliance and reduce resistance. Suppose engagement and retention (e.g., high-potential employees, millennials, etc.) are important. In that case, coaching is the most effective approach to align an individual's wants, needs, and expectations with the organization's mission, thus creating meaning and purpose for people at work. However, if time is the predominant criterion, doing the job yourself or telling someone else exactly what to do will probably be the fastest way. But note that it is only time-saving in the short term. In the long term, it creates dependency.¹⁷

According to a survey of 106 companies conducted in 2021, coaching was used extensively in leadership development, performance coaching, and talent development, with adoption rates of 79%, 75%, and 66%, respectively. As the practices, systems, and culture surrounding coaching evolved, its application gradually expanded into organizational transformation and change, with 31% of the surveyed companies using coaching for this purpose. This shift encompassed coaching methodologies, team coaching, and techniques that inspired team members to shape a shared vision.¹⁸

There are three types of coaching: individual, team, and corporate. In terms of its applications, there is individual coaching, team coaching, and corporate coaching. Individual coaching spans CEO coaching, executive coaching, leadership coaching, relationship coaching, and career coaching, etc.¹⁹ In the corporate context, coaching programs can take on different formats, primarily falling into four categories: (1) One-on-one coaching over six months or longer where the coachee (typically a manager of a certain level) engages in regular coaching conversations with a coach (typically an external coach); (2) Peer advisory group coaching, where executives from different industries come together to discuss common issues; (3) Coach-facilitated workshops, where the coach organizes collective activities to explore topics of shared interest among team members; and (4) Coach-integrated internal training programs that empower executives to develop coaching competencies for effective team management and talent development, including internal coach training and certification.²⁰

Challenges and Room for Improvement

Recently, corporate coaching in China faced several challenges on both the supply and demand side and significant room for improvement. The key challenges are as follows.

Firstly, there is a distinct imbalance in the professionalism of coaches, a challenge exacerbated by a scarcity of highly proficient coaches. The industry suffered from a lack of regulation and standardized certifications²¹, which made it difficult for corporate and individual clients to make informed decisions. Acquiring coaching techniques requires a considerable amount of time and practice. However, coaching education and training in China were often abstract at the time of writing. They relied heavily on personal abilities and experiences, leading to varying levels of competence among coaches.

Furthermore, training for professional managers was still in its infancy, with only a small number aspiring to become corporate coaches. According to the credentials outlined in **Exhibit 3** from the International Coaching Federation, as of March 6, 2023, China had a total of 535 Associate Certified Coaches (ACCs), 834 Professional Certified Coaches (PCCs), and 28 Master Certified Coaches (MCCs). In comparison, there were 26,844 ACCs, 21,253 PCCs, and 2,087 MCCs worldwide across 143 countries and regions²². Due to the scarcity of coaches, there were significant disparities among businesses in understanding the concept of coaching, identifying individuals who required coaching, and pinpointing suitable avenues for accessing coaching services.²³

Secondly, the market for coaching services is still in its infancy, facing challenges across various fronts. This manifested itself in several ways, such as the tendency for Chinese coaches to charge high rates, the difficulties faced by coaching organizations in reaching clients, the lack of a transparent and widely accepted pricing system, and a disconnection between the expectations of potential clients and the capabilities of coaching organizations (for example, companies had a preference for coaches with industry-specific backgrounds who could also serve as consultants). There are also significant disparities in clients' financial means as they seek viable ways of collaboration with coaching organizations.²⁴

In addition, there are challenges in delivering and measuring the results of coaching within organizations. For example, coachees participating in executive or leadership coaching are typically less inclined to deliver if the training was provided at the company's expense. Balancing the company's requirements with the coachee's privacy proved complex. Furthermore, when assessing coaching performance, companies often aim for the low-hanging fruits and attempt to incorporate coaching outcomes into corporate or executive performance metrics – something which proved challenging due to the importance that coaching attaches to both process and outcomes.²⁵

Applications of Coaching in the Corporate Context

"With the right tools and support, almost anybody can become a better coach...you need to do more than teach individual leaders and managers how to coach better. You also need to make coaching an organizational capacity."

— — *The Leader as Coach* ²⁶

Coaching-style Leadership

In the face of disruptive change, many firms have begun to reshape themselves as learning organizations and explore new management models, calling for executives to move toward a coaching model²⁷. When applying coaching to leadership development, the key lies in empowering managers to attain knowledge and skills in coaching leadership to enable them to integrate coaching techniques into their managerial responsibilities and to encourage them to reflect on their own strengths and weaknesses as leaders. This introspection, in turn, facilitates the transformation of leadership styles into an authentic coaching model.

Notwithstanding the potential benefits outlined above, a few challenges are associated with the concept of coaching leadership.

Firstly, there is a paradox in coaching leadership because the leader traditionally holds the paycheck, the key to promotion, and also the axe. However, for coaching to work at its best, the relationship between the coach and the coachee must be one of partnership in the endeavor, of safety, and of minimal pressure. The check, the key, and the axe have no place here, as they can serve only to inhibit such a relationship.²⁸

Secondly, researchers, including Daniel Goleman, conducted a study of over 4,000 executives and identified six distinct leadership styles that have a significant impact on the working atmosphere: coercive, authoritative, affiliative, democratic, pacesetter, and coaching, each springing from different components of emotional intelligence (see **Exhibit 4**). In the workplace, coaching employees and facilitating change necessitates time and effort. By contrast, the coaching style makes little sense when employees are resistant to changing their ways or changes fail to occur smoothly. The coaching style is often considered “slow” and “tedious,” especially when there is pressure to perform or an aggressive lead time. As a result, it is often not well-received in real-life applications²⁹. In reality, no leadership style is flawless. For example, both coercive and pacesetter styles may diminish employees’ motivation and destroy the organization’s climate. While the authoritative style works well in many situations, it may fail, for example, if the leader stops improving their professional capabilities and insights; otherwise, they might be seen as “pompous” or “out of touch³⁰.” According to Goleman, leadership styles are not mere reflections of personality; they require strategic application based on specific individuals and contexts³¹. Whitmore believed that coaching is emotional intelligence in practice and demands the highest qualities of that leader: empathy, integrity, and balance, as well as willingness, in most cases, to adopt a fundamentally different approach to employees³².

Thirdly, coaching leaders frequently grapple with the quandary of whether or when to leverage their expertise and experience into coaching. In the workplace, leaders typically progress from being “problem solvers” to “solution providers” and eventually “people developers.” It is, therefore, not uncommon to see “expert” style leaders. It is, however, very hard for experts to withhold their expertise sufficiently to coach well. According to Whitmore, while technical knowledge and expertise are valuable, every time input is provided, the coachee's responsibility is reduced, diminishing their potential driven by individuality and uniqueness. Therefore, a successful coach needs to truly act as detached awareness raisers, fully believing in what they are espousing – that is, the potential of the coachee and the value of self-responsibility.

Team Coaching and the Coaching Culture

In addition to 1:1 coaching, many organizations also provide team coaching. The core principles, traits, processes, and competencies of coaching apply to both individual and team coaching. However, the two have numerous distinctions (see **Exhibit 5**). Research has demonstrated that team coaching is particularly effective in the context of organizational transformation and change – among the 106 surveyed companies, 16% thought individual coaching was more effective. In contrast, 74% preferred team coaching, and 10% saw no significant difference³³.

In team coaching, the coach develops the identity and creativity of teams to reach their potential. The coach needs to know at which stage of its “life” the team is in, as there are some general rules about team development to create a safe environment and achieve shared goals. According to Whitmore, there are four stages to team development: inclusion, assertion, cooperation, and co-creation. A coach who creates a safe space for team members to express their fears, discomfort, and needs will foster the team’s resilience, self-care, strength, and co-responsibility by making the team aware of what stage it is at. In *Coaching for Performance*, Whitmore listed ways to foster coaching in a team (see **Exhibit 6**). Each team is an ecosystem of its own, and it has to discover its own way of being through curiosity, commitment, and creativity. What works for one team might not work for another.³⁴

A coaching culture takes root within an organization when it becomes the primary means for leaders, executives, and employees to engage, develop others, connect with stakeholders, and establish a foundation for driving performance. However, developing and sustaining such a culture is a gradual process that demands a clear vision and unwavering commitment from the executive team, alongside the organization's collective embrace of coaching as a shared mission, forming a bedrock of common values. In the early stages of building a coaching culture, organizations typically require the expertise of external coaches to train coaching leaders, facilitate team coaching workshops, and groom internal coaches. Over time, these practices are then integrated into day-to-day operations and work. However, building and developing a coaching culture within an organization does not entail a complete departure from other management approaches. Instead, it involves adopting the coaching mindset and skills and allowing them to become an intuitive part of the organizational fabric alongside other management and leadership styles.³⁵

Measuring the ROI of Coaching

Coaching is a black box, as behavioral change and the ensuing benefits, including those to the bottom line, are hard to track. Can benefits be measured? How? These questions are holding back the coaching industry from being further promoted and applied. To address this issue, Performance Consultants International (PCI), founded by Whitmore, developed an evaluation methodology called "Coaching for Performance ROI", which showed an average ROI for coaching engagements and leadership development of 800% through a combination of qualitative and quantitative approaches.³⁶

Specifically, the coach needs to record "goals and objectives," "ongoing actions," and "notes on what happened." The coachee and the coach should document the entire process, including peer feedback, based on which coaching can be reviewed using qualitative and quantitative approaches. This includes the field of work, skill level at the start and currently practiced, behavioral change, and impact on the business. After that, the ROI of coaching can be calculated using the following formula:³⁷

$$\frac{\text{Sum (Monetary Value} \times \text{Confidence Level)}}{\text{Cost of Coaching}} \times 100\%$$

To harness the potential of their talent pool, companies should ensure that investments in people development cease to be seen as a cost-center activity and are viewed instead as revenue-generating activities that are integral to strategy.³⁸

Exhibit 1: GROW Model

Step	Definition	Main goal
Goal	Set the goal for the coaching conversation and define the short and long-term coaching goals	- Understand the type of goal: ultimate goals, performance goals, and progress goals - Provides an understanding of principal aims and aspirations - Clarifies the desired result from the session
Reality	Clarify the current situation and address questions such as “when, where, who, and what,” focusing on facts and details.	- Assesses the current situation in terms of the action taken so far - Clarifies the results and effects of previously taken actions - Provides understanding of internal obstacles and blocks currently preventing or limiting progression
Options	Alternative strategies or courses of action	- Identifies the possibilities and alternatives - Outlines and questions a variety of strategies for progression
Will	What? When? Who? Will?	- Provides understanding of what has been learned and what can be changed to achieve the initial goals - Creates a summary and plan of action for implementation of the identified steps - Outlines possible future obstacles - Considers the continued achievement of the goals, and the support and development that may be required - Highlights how accountability and achievement of the goals will be ensured

Source: John Whitmore, Coaching for Performance (5th edition), China Machine Press, 2022, P85-145.

Exhibit 2: The Benefits of Coaching in an Organization

1. **Improved performance and productivity.** Coaching brings out the best in individuals and in teams, something that merely instructing will never be able to achieve.
2. **Improved career development.** Developing people on the job creates a learning culture at the same time as increasing enjoyment and retention.
3. **Improved relationships and engagement.** Respecting and valuing individuals improves relationships and increases engagement that will accompany coaching. The very act of asking people a question values them and their answer. If you only tell, there is no exchange and thus no value is added anywhere.
4. **Improved job satisfaction and retention.** The atmosphere at work will change for the better because of increased enjoyment derived from a more collaborative approach. Stephen Overell joins the search for the ultimate competitive advantage, and finds that companies are trying to offer staff meaning and purpose. High salaries alone are not enough to secure top talent.

5. **More time for the leader.** Team members who are coached welcome responsibility and do not have to be watched. Leaders report feeling a weight being lifted from their shoulders, less stress, and having more time to step back and think strategically.
6. **Increased innovation.** Leaders say that coaching and a coaching environment encourage creative suggestions from all members of a team, and therefore increase innovation without the fear of ridicule or premature dismissal. One creative idea often sparks others.
7. **Better use of people and knowledge.** Leaders very often have no idea what hidden resources are available to them until they start coaching. Coaching will equip them with the mindset and skills to tap into the strengths and qualities of their people.
8. **People who will go the extra mile.** In an atmosphere in which people are valued, they are invariably willing to push the boat out when or even before being called on to do so. In far too many organizations, where people are not valued they only do what they are told, and as little as possible at that.
9. **Greater agility and adaptability.** The coaching mindset is all about change, being responsive and responsible. In the future the demand for flexibility will increase, not decrease, as a direct result of increased competition in the market, technological innovation, instant global communication, economic uncertainty, and social instability. Only the flexible and resilient will flourish.
10. **High-performance culture.** Coaching principles underpin the leadership style of the high-performance culture to which so many business leaders and organizations aspire. More importantly, they enable leaders to bring their people on the journey alongside them, rather than telling and expecting them simply to follow.
11. **Life skill.** Coaching is both an attitude and a behavior, with multiple applications both in and out of work.

Source: John Whitmore, *Coaching for Performance* (5th edition), China Machine Press, 2022, P192-195.

Exhibit 3: Introduction to ICF Credentials

ICF offers three credentials: Associate Certified Coach (ACC), Professional Certified Coach (PCC), and Master Certified Coach (MCC). Applicants for ICF credentials are required to obtain coach-specific education, receive mentor coaching, and have coaching experience. There are three paths to achieving ICF credentials: Accredited Coach Training Program (ACTP), Accredited Coach Specific Training Hours (ACSTH), and Portfolio. ACC, PCC and MCC are distinguished by the required hours of accredited coaching programs and hours of coaching experience (as follows):

	ACC	PCC	MCC
Hours of accredited coaching programs	60	125	200
Hours of coaching experience	100	500	2,500

Source: <https://coachingfederation.org/>.

Exhibit 4: Different Leadership Styles and Characteristics

	Coercive	Authoritative	Affiliative	Democratic	Pacesetting	Coaching
In a phrase	Do What I Say	Come with Me	People Come First	What Do You Think?	Do as I Do Now	Try It
Characteristics	Demands immediate compliance	Mobilizes people toward vision	Creates harmony, builds emotional bonds	Forges consensus through participation	Sets high standards for performance	Develops people for future
Underlying EQ	Drive to achieve, initiative, self-control	Self-confidence, empathy, change catalyst	Empathy, building relationships, communication	Collaboration, team leadership, communication	Conscientiousness, drive to achieve, initiative	Developing others, empathy, self-awareness
Impact on	Negative	Positive	Positive. Suggest using it with other styles	Positive	Negative	Positive

Source: Daniel Goleman, Leadership that Gets Results, Harvard Business Review, March-April, 2020: 78-90.

Exhibit 5: Differences between Individual and Team Coaching

	Individual coaching	Team coaching
Where the coachee is at the beginning	- There is a high level of commitment from the start. There is a change the coachee wants to make or a goal a coachee wants to achieve, so the coachee has engaged a coach to help make that happen; - The value of coaching is apparent and it's personal.	- There is quite a mix of expectations for the prospect of team coaching. There may be some enthusiastic team members eager to start. There will be some who are indifferent; some who are skeptical; some who are even resistant; - Trust and relationship connection are key to effective coaching. With teams, that will take time and attention.
Coaching focus	- The focus is on a future vision, something the coachee wants to accomplish; - Focus is more on personal or private matters.	- There is a focus on the current state of critical, time-sensitive issues that affect team performance. - Focus is more on business.

Coaching relationship and environment	With individual coachees, there is a single relationship to consider.	There will be relationships on multiple levels, including the relationship between the coach and the team, the coach and the team leader, as well as the team leader and team members.
The structure of the conversation	Coachees speak to the coach directly, whether it's a virtual or an in-person session.	In a systems-based approach to working with teams, coaches are tuned in to individual voices, but coaches listening for the voice of the system hear the team voice only indirectly, through the voices of individual team members and through the coach's ability to listen below the surface of the conversation, thus enabling them to look for the dynamics that show up as repeating patterns that impact team performance.
Impact	- The conversation is private, confidential, one-on-one, simple and effective; - A coaching question elicits an answer. One question equals one response.	- The conversation is public, and that can be edgy and vulnerable; - There is an important and essential shift in emphasis from dialogue to discussion. - The coach's question is designed to initiate a team conversation.

Source: Philip Sandahl, Alexis Philips, Team Unleashed: How to Release the Power and Human Potential of Work Teams, Publishing House of Electronics Industry, 2021.

Exhibit 6: Focuses of Team Coaching

1. Agree on a set of ground rules or operating principles acceptable to all team members and to which all have contributed
2. Educate leaders and teams on the key communication skills and dynamics needed for a team to thrive
3. Discuss and agree on a set of common goals for the team
4. Hold team discussions on individual and collective meaning and purpose as perceived by team members
5. Set aside time on a regular basis, usually in conjunction with a scheduled task meeting, for team development work
6. Put support systems in place to deal, in confidence if requested, with individual troubles or concerns as they arise
7. Canvass team members' views about the desirability of arranging structured social time together
8. Develop a common interest outside work
9. Learn a new skill together

Source: John Whitmore, Coaching for Performance (5th edition), China Machine Press, 2022, P170-172.

Endnotes

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- ¹⁶ "2022 China Corporate Coaching White Paper," CEIBS Business Review, [2022-09-02], <https://www.163.com/dy/article/HGF0K7QP0511B3FV.html>.
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- ¹⁹ Dave Ulrich, Jessica K. Johnson, "Demystifying the Coaching Mystique," *Human Resource Development of China*, 2014.04 Management Innovation, P58-65.
- ²⁰ "Research Report on Corporate Coaching Practice and Typical Scenario Application," HR Excellence Center and Erickson, [2021-07-20], http://www.hrecchina.org/publication_yjbg/.
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- ²³ "Research Report on Corporate Coaching Practice and Typical Scenario Application," HR Excellence Center and Erickson, [2021-07-20], http://www.hrecchina.org/publication_yjbg/.
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